

EQUITY RESEARCH · COMPANY DEEP DIVE

Apple Inc. (AAPL.US)

Technology · Consumer Electronics
 Large Cap (>\$200B) · Report Date: June 12, 2026
 Latest financials: Q3 FY2025 · Model data as of 2026-06-12

HOLD
 Blended Target: \$286.07
 DCF + Comps + Analyst (see cross-check table)
 Implied upside: -1.6%

Price (Jun): \$290.82

INVESTMENT HIGHLIGHTS

- **HOLD** — blended target \$286.07 (-1.6% vs \$290.82); multi-method valuation after outlier checks.
- Modest revenue growth; high operating margins; weak roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Apple Inc. (AAPL) — Technology. Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories worldwide. The company offers iPhone, a... **HOLD** rating; blended target \$286.07. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$4.27T	Shares Out.	14687.4M
52-Week Range	\$195.07 – \$317.40	P/E (TTM)	35.3x
P/B	40.1x	Beta	1.09
Avg Volume	46.66M	Analyst Rec.	Buy
Revenue (TTM)	\$416.16B	Rev Growth	+6.4%
Op. Margin	32.3%	FCF (TTM)	\$98.77B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	391,035	416,161	442,901	466,144	486,764
Revenue Growth (%)	N/A	6.4%	6.4%	5.2%	4.4%
Net Income (\$M)	93,736	112,010	119,207	125,463	131,013
Net Income Growth (%)	N/A	19.5%	6.4%	5.2%	4.4%
Gross Margin (%)	46.2%	46.9%	47.9%	47.9%	47.9%
Net Margin (%)	24.0%	26.9%	26.9%	26.9%	26.9%
ROE (%)	164.6%	151.9%	161.7%	154.3%	153.5%
EPS (\$)	6.38	7.63	8.12	8.54	8.92
Book Value / Share (\$)	3.88	5.02	5.02	5.53	5.81
P/E (x)	45.57	38.13	35.83	34.04	32.60
P/B (x)	75.00	57.93	57.93	52.54	50.04
Dividend Yield (%)	37.0%	37.0%	37.0%	37.0%	37.0%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$110.33	-62.1%	0% (excluded)	DCF diverges >55% below comparable-implied value
Comps — P/E (peer median)	\$254.19	-12.6%	—	Peer median P/E 30.8x
Comps — EV/EBITDA (peer median)	\$258.66	-11.1%	—	Peer median 26.7x
Comps — P/S (peer median)	\$294.47	+1.3%	—	Peer median P/S 10.4x
Comps — Blended (avg. of available multiples)	\$269.11	-7.5%	61%	Anchor multiple-based value
Analyst consensus (Yahoo Finance)	\$312.72	+7.5%	39%	Included in blend
Blended target (weighted)	\$286.07	-1.6%	100%	Comps 61% + Analyst 39%

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	9.97%
Terminal g	1.50%
FCFE growth	5.95%
Base FCFE	\$107.02B
PV explicit (5Y)	\$479.22B
PV terminal	\$1.06T
Equity value (adj.)	\$1.62T
Implied price	\$110.33
vs. current	-62.1%

INDUSTRY ANALYSIS

1. Industry Overview

Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories worldwide. The company offers iPhone, a line of smartphones; Mac, a line of personal computers; iPad, a line of multi-purpose tablets; and wearables, home, and accessories comprising AirPods, Apple Vision Pro, Apple TV, Apple Watch, Beats products, and HomePod, as well as Apple...

2. Key Trends

- Moderate revenue expansion (6.4% YoY)
- High operating leverage (32.3% margin)
- Sector: Technology | Industry: Consumer Electronics

3. Risk Factors

- Standard sector cyclicalty and macro exposure

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
NVDA	NVIDIA Corporation	\$4.94T	31.2x	29.7x	63.0%	+85.2%
GOOGL	Alphabet Inc.	\$4.39T	27.5x	26.7x	37.9%	+21.8%
MSFT	Microsoft Corporation	\$2.85T	22.9x	16.0x	39.3%	+18.3%
AMZN	Amazon.com, Inc.	\$2.53T	30.8x	17.3x	12.2%	+16.6%
AAPL*	Apple Inc.	\$4.27T	35.3x	27.2x	27.2%	+6.4%

* Subject company. P/e in line with peer median; below-peer profitability. Modest revenue growth; high operating margins; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.